The Buyer Discount Scorecard

20 places a buyer may look to reduce the price.

1. BIG THREE

CUSTOMER CONCENTRATION

Too much revenue depends on one client.

2. BIG THREE

OWNER DEPENDENCE

Sales, decisions or delivery rely on owner.

3. BIG THREE

EARNINGS QUALITY

Reported profit may not survive adjustments.

4.

NO RECURRING REVENUE

Income must be won again each month.

5.

CHANGE OF CONTROL

Contracts may end when ownership changes.

6.

SHORT CONTRACTS OR CHURN

Customers can leave quickly.

7.

DECLINING REVENUE

The top line is moving in the wrong direction.

8.

SUPPLIER CONCENTRATION

Delivery relies on one key supplier.

9.

MESSY MANAGEMENT ACCOUNTS

The numbers are slow or hard to verify.

10.

PERSONAL EXPENSES

Owner costs are mixed into the accounts.

11.

BELOW-MARKET OWNER SALARY

A replacement may cost more.

12.

WORKING CAPITAL

Too much cash is needed to run the business.

13.

NET DEBT

Liabilities reduce equity value.

14.

GROSS MARGIN PRESSURE

Margins are weak or falling.

15.

KEY-PERSON RISK

Critical knowledge sits with one employee.

16.

NO MANAGEMENT LAYER

There is no team to run the company.

17.

UNDOCUMENTED PROCESSES

Important knowledge is not written down.

18.

DEFERRED CAPEX

The buyer must fund overdue investment.

19.

REGULATORY EXPOSURE

Compliance or legal issues remain unresolved.

20.

PROPERTY AND LEASES

Lease terms or dilapidations create cost.